

US Dollar

October 2026 outlook: firm into the FOMC, fraying beyond it

Analyst: Valeriy Sinko · Data as of 28 Sep 2026 · Issue 1

1 TO 3 MONTHS
USD bullish

6 TO 12 MONTHS
Neutral

1 TO 3 MONTH OUTLOOK

The market underprices a second Fed hike; the dollar stays firm into the 28 Oct FOMC.

PRICED 72% odds of a 25bp hike on 28 Oct, but only ~30% for a second by December (CME FedWatch, fed funds futures, 25–28 Sep). Fed median: 4.1% by year end, one more hike then a pause.

VIEW **Bullish USD:** the Fed hikes more than priced.

- **Fed:** 16 of 18 officials expect another hike, four see two; the 2026 median rose from 3.8% to 4.1% (SEP, 16 Sep).
- **Inflation:** CPI 3.4%, core +0.3% m/m (BLS, Aug); Brent near \$107; consumers expect 4.6% (UMich, Sep).
- **Jobs:** payrolls +162k vs +53k expected; unemployment 4.1% (BLS, Aug); the economy can bear higher rates.

POSITIONING CFTC DXY net longs +10,330 (22 Sep), near a 3-month low: not crowded, room for buyers.

CHANGE OUR MIND Payrolls under 50k (2 Oct), core CPI $\leq 0.2\%$ m/m (14 Oct), a hold on 28 Oct, or an Iran ceasefire that knocks oil lower.

6 TO 12 MONTH OUTLOOK

The rate premium peaks; valuation and fiscal strain start to bite.

PRICED A plateau near 4.1% through 2027, easing to 3.9% in 2028 (Fed SEP).

SUPPORTIVE Positive real rates; net energy exporter with Brent near \$107; safe-haven demand on Iran.

AGAINST REER 114, near its record; ~17% rich to EUR on PPP; a 5% 10y and Treasury buybacks leaning on yields.

WHERE WE DISAGREE The market assumes the Fed can outrun a Treasury capping yields.

Real rates +

Terms of trade +

Dollar smile +

Fiscal —

Valuation —

TRADE IDEA

Sell EUR/USD (long USD), spot

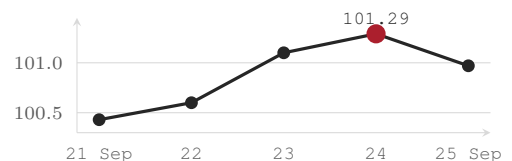
Entry	1.1400
Stop	1.1550
Target	1.1100
Reward : risk	2.0 before carry · 2.3 after (+39 pips)
Size	1% of book · ~EUR 667k
Catalysts	2 Oct payrolls · 14 Oct CPI · 28 Oct FOMC
Horizon	Small, short dated; exit after 28 Oct if flat

INDICATORS PANEL

DXY spot (25 Sep)	100.97
DXY 3m forward	100.58
Fed funds (16 Sep)	3.75–4.00%
Policy gap vs DXY basket	+1.54 pts
Policy gap vs EUR (trade)	+1.375 pts
Next FOMC · priced	28 Oct: 72%
2y Treasury; 1m chg	[4.81%] · +47bp
Real policy rate (US)	+0.5%
CPI vs 2% target (Aug)	3.4% (+1.4 pts)
Valuation: REER (May)	114.0
CFTC DXY net (22 Sep)	+10,330

CHART 1

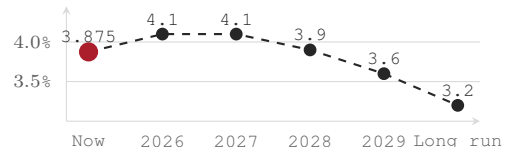
The dollar rallied into the hike, back to July highs



DXY daily close. Source: Portfolio Terminal, 25 Sep 2026. Swap in a 1–2 year DXY vs 2y spread chart before publishing.

CHART 2

The Fed plans to stay high for two years, then ease



Fed funds midpoint now vs median projections. Source: FOMC Summary of Economic Projections, 16 Sep 2026.

FORECASTS AGAINST THE FORWARD

Pair	Horizon	Spot	Forward	Our forecast	Against the forward
EUR/USD	3 months	1.1403	1.1442	1.1200	USD stronger than the forward
EUR/USD	12 months	1.1403	1.1556	1.1600	In line with the forward
USD/JPY	3 / 12 months	157.25	156.23 / 153.28	[] / []	From the JPY page
USD/CAD	3 / 12 months	1.4141	1.4084 / 1.3920	[] / []	From the CAD page

Forwards from spot and policy rates as a proxy (USD 3.875%, EUR 2.50%, GBP 3.75%, CHF 0%, SEK 1.75%, JPY 1.25%, CAD 2.25%; DXY-weighted basket 2.33%). Sources: Federal Reserve, ECB, BoE, SNB, Riksbank, BLS, BEA, CME FedWatch, CFTC, BIS/FRED, Portfolio Terminal, CNBC; data 16–28 Sep 2026. Values in [brackets] to be verified or completed. Student research for teaching purposes; not investment advice.